QP CODE: 25901031

MGU-BVOC (HONOURS) Regular EXAMINATION November 2025

First Semester

Multi-Disciplinary Courses (MDC) - MG1MDCBTX100 - BUSINESS ETHICS (2025 ADMISSION ONWARD

SCHEME FOR VALUATION

Time: 1 Hour Max. Marks: 50

Part A MCQ Questions

Answer any ten questions. Each question carries 1 mark.

1. a) Respect for nature
2. b) Moral relationship between humans and nature
3. d) All of these
4. b) Social welfare and sustainability
5. b) Protecting and managing resources wisely
6. b) Mandatory for ethical culture
7. a) Business and society
8. a) Sustainable success
9. b) Performance-based promotion
10. a) Ethos
11. a) Price fixing
12. b) Build employee trust and loyalty

Part B Short Essay Questions

Answer any 10 questions. Each question carries 2 marks

13. Describe ethical issues in marketing.

1. Misleading advertisements – exaggerating features or hiding limitations of products.
2. Manipulative sales tactics – emotional exploitation, pressure selling, or fear-based marketing.
3. Price-related unethical practices – price discrimination, hidden charges, deceptive discounts.
4. Targeting vulnerable consumers – children, elderly, or economically weaker groups.
5. Invasion of privacy – misuse of consumer data for targeted advertising without consent.
6. Stereotyping in ads – gender, racial, cultural misrepresentation harming societal values.

14. Describe ethical issues in product development.

1. Compromised safety – inadequate testing, use of harmful ingredients, failure to meet safety norms.
2. Substandard quality – using low-quality materials to reduce production cost.
3. Planned obsolescence – designing products to fail early, forcing frequent repurchase.
4. Environmental damage – excessive use of non-renewable resources or producing non-recyclable waste.
5. False labeling – hiding harmful chemicals, inaccurate nutritional claims, or incomplete information.
6. Violation of regulations – ignoring industry standards or legal guidelines.

15. Explain the role of auditors in maintaining accounting ethics.

1. Ensuring accuracy of financial statements – verifying transactions and balances.
2. Detecting fraud and irregularities – identifying manipulation, misappropriation, or window dressing.
3. Ensuring compliance – checking adherence to accounting standards, tax laws, and regulations.
4. Promoting transparency – providing unbiased, independent reports to stakeholders.
5. Recommending internal controls – improving systems to prevent unethical financial practices.
6. Protecting stakeholders – building trust for investors, creditors, and employees.

16. Differentiate between meta-ethics and normative ethics.

Meta-Ethics

1. Studies the nature, meaning, and origin of moral principles.
2. Answers abstract questions like “What is good?” or “Are moral values universal?”
3. Philosophical and theoretical in nature.
4. Focuses on language, logic, and justification of moral beliefs.

Normative Ethics

1. Provides rules and guidelines for ethical behaviour.
2. Includes theories like utilitarianism, virtue ethics, and duty ethics.
3. Practical—answers “What should we do?” in real situations.
4. Guides decision-making in personal and professional life.

17. What are the ethical responsibilities of companies in product development?

1. Ensuring product safety – safe design, adequate testing, and adherence to safety standards.
2. Providing accurate information – honest labeling, no false claims, clear usage instructions.
3. Maintaining quality – using good materials and ensuring durability.
4. Environmental responsibility – using eco-friendly materials and reducing waste.
5. Compliance with laws – following industry regulations, certifications, and quality norms.
6. Social responsibility – avoiding harmful chemicals, contributing to consumer welfare.

18. How can HR strengthen the ethical tone in an organisation?

1. Implementing ethical policies – code of conduct, anti-corruption rules, fair practices.
2. Ethical recruitment – merit-based hiring, avoiding bias or discrimination.
3. Fair appraisal and promotion – performance-based evaluation without favouritism.
4. Training employees – conducting ethics workshops, seminars, and awareness programs.
5. Whistle-blower systems – providing safe channels to report unethical behaviour.
6. Conflict resolution – addressing grievances transparently and impartially.

19. What are the benefits of CSR to business?

1. Improved reputation – enhances brand image and public trust.
2. Customer loyalty – consumers prefer socially responsible companies.
3. Employee satisfaction – workers feel proud and motivated.
4. Better stakeholder relations – trust with investors, suppliers, and communities.
5. Reduced legal risks – compliance with environmental and social regulations.
6. Long-term sustainability – responsible use of resources supports future growth.

20. What is the main ethical concern in advertising?

The major ethical concern is *deception or misleading content*. This includes:

1. False claims – overstating benefits or hiding risks.
2. Manipulative messages – exploiting emotions or fears to influence buyers.
3. Selective omission – leaving out crucial information that affects decision-making.
4. Stereotyping or offensive content – harming cultural or social values.
5. Targeting vulnerable groups like children.

The core issue is lack of honesty and fairness in communication.

21. Name two common HR ethical issues.

1. Discrimination – based on gender, caste, religion, age, disability, or personal bias.
2. Unfair performance appraisal – favoritism, partiality, or non-transparent evaluation processes.

These issues negatively affect morale, trust, and workplace fairness.

22. What is the role of business ethics in protecting consumer rights?

1. Ensures truthful information – prevents false claims and deceptive marketing.
2. Guarantees product safety – avoids harmful materials and ensures proper testing.
3. Supports fair pricing – no hidden charges or exploitation.
4. Respects privacy – protects consumer data from misuse.
5. Provides grievance redressal – honest handling of complaints and service issues.
6. Builds consumer trust – fostering long-term business relationships.

23. What is environmental ethics?

1. A branch of applied ethics focusing on moral duties toward nature and the environment.
2. Examines how human actions affect ecosystems, biodiversity, and natural resources.
3. Promotes values like conservation, sustainability, and ecological balance.
4. Encourages reduction of pollution, responsible resource use, and protection of wildlife.
5. Shapes environmental laws, CSR initiatives, and eco-friendly business practices.

24. Explain the competition that happens in environmental and marketing ethics.

In environmental ethics:

1. Green competition pushes companies to appear eco-friendly.
2. Leads to greenwashing – false environmental claims to attract customers.
3. Misleading eco-labels or overstating sustainability practices.

In marketing ethics:

1. Firms engage in unfair competitive practices like false comparisons and negative advertising.
2. Misleading environmental marketing claims distort consumer choices.
3. Competitors may copy or misuse environmental tags to gain an advantage.

Part C Long Essay - Answer any 2 questions. Each question carries 10 marks

25. Evolution and importance of ethics in modern business

Evolution

1. Traditional era – ethical behaviour guided by culture, religion, and community values.
2. Industrial Revolution – exploitation increased → need for labour rights and safety.
3. Early 20th century – rise of regulations, consumer laws, and fair trade practices.
4. Corporate governance era – transparency, accountability, and stakeholder protection.
5. Modern era – focus on sustainability, CSR, environmental ethics, and data privacy.

Importance

1. Builds trust with consumers and society.
2. Ensures legal compliance and avoids penalties.
3. Improves employee morale and workplace culture.
4. Enhances investor confidence due to transparent reporting.
5. Supports long-term sustainability and resource protection.
6. Reduces fraud, corruption, and scandals.
7. Strengthens relationships with all stakeholders.

26. Ethical issues in advertising

Major Ethical Issues

1. Misleading claims – exaggeration, false promises.

2. Emotional manipulation – fear-based or guilt-based ads.
3. Stereotyping – gender, religion, or cultural bias.
4. Offensive content – vulgar, insensitive visuals.
5. Targeting vulnerable groups – especially children.
6. Hidden information – risks, side effects not disclosed.
7. Greenwashing – fake environmental claims.
8. Unfair comparative ads – attacking competitors.

Examples

1. Fairness creams promising unrealistic results.
2. Junk food ads targeting children using cartoon characters.
3. Ads showing edited/unrealistic product images.

27. Role of CSR in promoting financial ethics

Role of CSR

1. Promotes transparent financial reporting.
2. Ensures ethical use of funds and prevents misuse.
3. Strengthens corporate governance and internal controls.
4. Builds stakeholder confidence through honest practices.
5. Reduces financial fraud by promoting integrity.
6. Encourages long-term ethical investments.
7. Ensures compliance with laws and standards.
8. Encourages fair pricing, fair contracts, and honest transactions.

28. Ethical importance of consumer protection

Importance

1. Prevents exploitation by unfair business practices.
2. Ensures product safety and protects health.
3. Builds consumer trust and loyalty.
4. Encourages fair competition in markets.
5. Supports market stability and economic welfare.

How businesses can ensure it

1. Provide accurate information and honest labelling.
2. Maintain product quality and safety standards.
3. Follow fair pricing without hidden charges.
4. Offer grievance mechanisms for customer complaints.
5. Ensure ethical advertising with no false claims.
6. Protect consumer data privacy.
7. Follow all consumer protection laws